

Article | 10 July 2026

# European consumers still aren't consuming, but the way they save is changing

Eurozone households continue to act as a brake on economic growth. But a gradual shift from bank deposits towards investment products may be laying the foundations for stronger consumption and domestic demand in the years ahead



Eurozone households continue to save heavily, although more of those savings are now flowing into investments rather than bank deposits.

## The issue: Savings inches down, but still well above historical levels

Europe still has a consumer problem. While household spending has picked up modestly in recent quarters, Europeans continue to save a much larger share of their income than before the pandemic, limiting an important driver of economic growth.

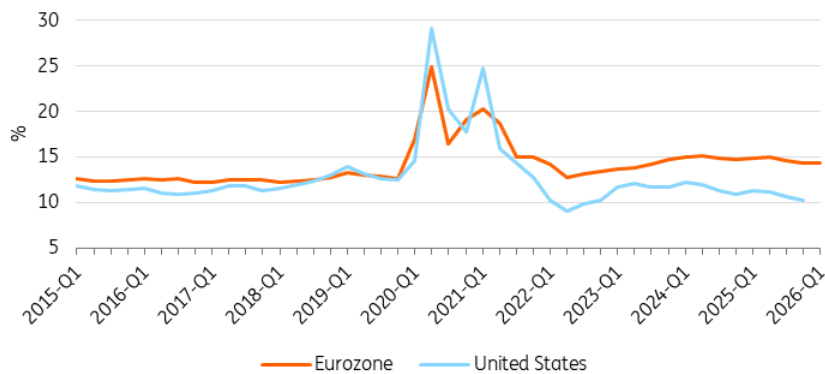
For every €100 of disposable income, Europeans spent €85.74 euros on goods and services in the first quarter of 2026, up only marginally from €85.70 in the fourth quarter of 2025. The increase was somewhat stronger compared with the previous two years. From the end of 2023 until mid-2025, the share of income spent on goods and services hovered around €85.

Yet the current 14.26% gross savings ratio (the share of disposable income not spent on goods and services) remains well above pre-Covid levels. During the five years before the pandemic, this ratio was stable at 12.5%, meaning households spent around €87.50 out of every €100 of income on goods and services.

In the US, by contrast, the gross savings ratio stands at 10.2% (4Q2025) and has come down from pre-Covid levels (graph 1). Household consumption continues to provide relatively strong support to the US economy amid solid demand for goods and services. European households remain more cautious, with higher savings acting as a drag on consumption.

### Eurozone household savings ratio continues to remain above pre-pandemic levels

Gross household savings rate



Source: Eurostat, OECD National Accounts. Last datapoint for the US is 4Q2025.

### The effect: A lack of household spending slows economy

Lower household consumption is weighing on growth\*, both relative to historical levels and even more so relative to the US. For years, a gradual normalisation of the savings ratio towards pre-Covid levels was seen as a potential source of support for European growth. So far, there has been little meaningful progress.

In Europe, household spending typically accounts for just over 50% of GDP. If the savings ratio were to fall from first quarter levels to 12.5%, this would imply additional demand for goods and services equivalent to about one percent of GDP. A decline to a level similar to that seen in the US would imply additional demand worth around 2% of GDP.

*\*If lower household consumption (higher savings) translates into significantly higher household capital formation (higher new residential investment and renovations), it offsets the drain on domestic demand. However, with the [exception of 2021](#) this has not happened. In fact, since 2023, housing investment has declined, further weighing on domestic demand.*

### The surprising driver: older households fearing the erosion of their wealth

In [December](#), we looked at the drivers of this change since Covid. We found a striking increase in the share of people who say 'now is a good time to save' relative to 2019. At first glance, this seems counterintuitive. After all, the past four years have been characterised by high inflation, and conventional economic [thinking](#) suggests rising prices lower real interest rates, boost consumption and reduce incentives to save. However, recent research by the [Bank of England](#) suggests that reduced inflation uncertainty, which is strongly correlated with lower expected inflation, leads to higher planned spending and lower monthly saving.

We share a similar view, but emphasise the role of wealth. We've found that the real value of household wealth in Europe fell sharply between 2021 and 2023 as inflation peaked. A similar pattern emerged in the US. But the impact was partly mitigated by higher equity valuations, allowing financial wealth to recover more quickly despite a lower savings ratio.

We also found that the increase in the share of people saying 'now is a good time to save' compared with 2019 was especially pronounced among those aged over 50. This age group has accumulated the most wealth, making them more exposed to the erosion of purchasing power caused by inflation. At the same time, older people tend to have significantly higher inflation expectations than younger people ([chart 6, by age](#)). Households that feel their wealth has been eroded and expect (often much) more to come may attempt to rebuild financial buffers by postponing consumption. As such, we continue to see the erosion of wealth as a plausible explanation for higher savings ratios. Let's see what's changed since then.

### The opposing forces: Younger generations savings intentions peak

Since the outbreak of the war in Iran, inflation expectations have risen across all age groups. The increase is strongest among older age groups ([graph 6, by age group](#)). Nevertheless, older age groups seem slightly less inclined to save than before (graph below). This may reflect some individuals expecting to start drawing on existing savings as a buffer, using them to absorb unexpected financial setbacks as fears of higher inflation materialise.

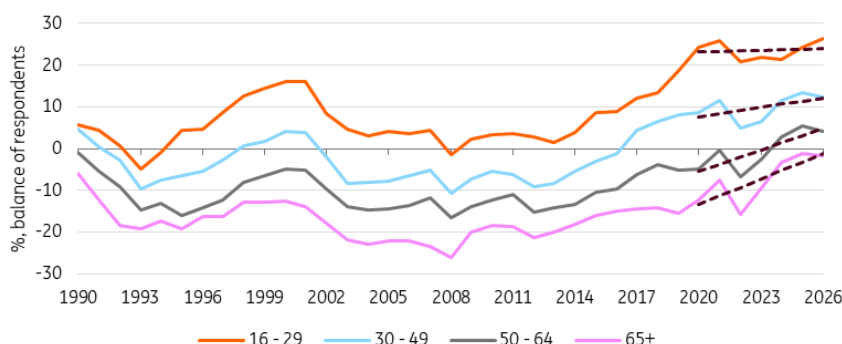
Younger people, on the other hand, are more likely to say that now is a good time to save. We see this as a more traditional response to higher uncertainty, with younger households building up cash reserves for precautionary reasons. In absolute terms, the share of young people saying that now is a good time to save is at its highest level in the past 36 years. However, compared with pre-Covid levels, the increase is still less pronounced than among older age groups.

The data suggest the slight first-quarter dip in the savings ratio reflects two opposing forces: older households appear to be drawing down part of their reserves, while younger households

are stepping up precautionary saving – leaving the aggregate ratio only marginally lower.

### There's never been a better time to save

Yearly average of the difference between the percentages of respondents who gave positive and negative replies to the question: 'Over the next 12 months, how likely is it that you will save any money?'



Source: European Commission, ING Research. Data for 2026 is the average from Jan-Jun 2026.

### The coming quarters: first down, then up

In the second quarter, the savings ratio likely slipped further as households tapped their financial buffers to offset the surge in fuel costs – a drag strong enough to outweigh any incremental rise in precautionary saving. Looking ahead, with fuel prices easing off their peaks but geopolitical and labour-market uncertainty still high, precautionary saving is likely to re-emerge as the dominant force.

Mortgage dynamics will reinforce this shift. With mortgage rates up roughly 20 basis points in countries like Germany, Italy, Spain and the Netherlands – and uncertainty rising – demand for new mortgages is set to cool over the coming quarters, while repayments are likely to pick up.

Until May, mortgage-debt growth [held steady](#), reflecting the usual lag before shifts in borrowing behaviour show up in the data. A similar pattern was seen in 2022, when the impact of higher interest rates materialised with a delay. However, we don't expect an adjustment of similar magnitude; the increase in mortgage rates has been much smaller. Even so, we do expect to see slower growth in the mortgage debt stock over the next couple of months. Slower mortgage borrowing reduces the amount of new credit flowing into the economy, dampening housing-related spending and limiting consumption growth. At the same time, faster mortgage repayments leave less room for consumption, leading to higher saving ratios.

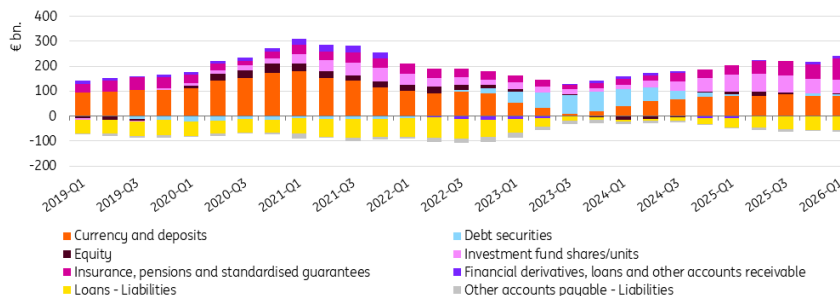
All in all, we see only limited upside for consumption in the third quarter. Any lift from easing inflation is likely to be muted once again by a rising savings ratio.

## What's new: Fewer deposits, more investments

Following the Covid pandemic, eurozone households initially channelled large amounts into bank deposits and debt securities. Since 2024, however, financial transaction data shows an increasing share is going into investment funds (including ETFs), as well as insurance, pensions and standardised guarantees. Over the past two years, net inflows into these assets have consistently outpaced those going into bank deposits.

## Investment funds are gaining ground in financial portfolios of households

Quarterly financial transactions of households and NPISHs, 4q moving averages



Source: Eurostat, ING Research

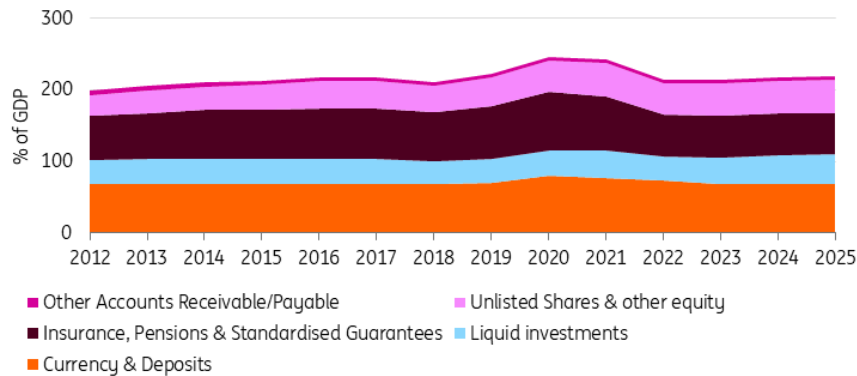
## The longer-term implication: positive for growth

Household balance sheets show that as more savings have shifted into investment funds, pensions and other market-linked products – and as asset prices have risen, the share of liquid financial investments in total wealth has increased (graph 4).

Between 2022 and 2025, liquid investments rose by the equivalent of 9% of GDP. Other forms of financial wealth remained roughly constant relative to GDP, whereas currency and deposits declined by almost 5% over the same period. The combined effect of asset price increases and households adding more money to various forms of wealth helped lift the wealth-to-GDP ratio. The gains remain far smaller than in the US, where stronger equity markets – and a much larger share of household wealth in equities and mutual funds – have driven wealth higher far more quickly, even though Americans added relatively less from new savings.

## Households are holding more of their wealth in liquid investments

Eurozone household assets



Source: Eurostat, ING Research

Looking further ahead, if Europeans continue to allocate more of their savings to investment products, the need for precautionary buffers could gradually fade. As returns build wealth and offer stronger protection against inflation, households may feel less pressure to set aside such a large share of income to reach their desired level of financial security.

If that shift takes hold, domestic demand could get a lasting boost. Moves like Germany's [pension reforms](#) and the European Savings and Investment Union push in the same direction by encouraging households to hold a larger share of their wealth in investment products. We're not there yet, however.

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Article | 7 July 2026

FX RATES FRANCE

# France's Marine Le Pen back in the presidential race as fiscal challenges loom large

Marine Le Pen can now run for president in 2027, setting the stage for a highly uncertain campaign against the backdrop of France's worsening fiscal outlook



RN parliamentary party leader Marine Le Pen leaves the Paris courthouse after hearing of the verdict in her appeal trial

## Le Pen can run for president

Marine Le Pen was convicted in March 2025 in a case concerning the misuse of European Parliament assistants by the former Front National. She was sentenced to four years in prison, including two years suspended, fined EUR 100,000, and barred from holding public office for five years with immediate effect. This ruling has now been reviewed on appeal.

The appeal court upheld her conviction today, but modified the sentence. She has been sentenced to three years in prison, including two years suspended, meaning that she will serve one year under electronic monitoring. She has also been banned from holding public office for 45 months, of which 30 months are suspended. As the period of ineligibility began in March 2025, the first 15 months have elapsed. As a result, she is now officially eligible to run in the



2027 presidential election.

On Tuesday evening, she officially announced that she would be the Rassemblement National (RN) candidate in the presidential election and that Jordan Bardella would serve as her Prime Minister if she won. She believes that she will not have to wear an electronic monitoring bracelet because she has decided to appeal to the Court of Cassation, at the risk that the decision might once again prove to be more serious than the one announced today. The Court of Cassation should deliver its ruling at the beginning of 2027. In short, Marine Le Pen has chosen to run for office, but significant uncertainty remains regarding her legal situation, and this is likely to overshadow the campaign.

### Where does the campaign stand?

The presidential campaign remains highly uncertain. The number of potential candidates is still very large, reflecting the continued fragmentation of the French political system. French political history shows that opinion polls remain highly volatile nine months before a presidential election. Being the frontrunner at this stage does not guarantee victory.

Three leading candidates currently stand out on the centre-right and right: Édouard Philippe (Horizons), Gabriel Attal (Renaissance, the former party of Emmanuel Macron), and Bruno Retailleau (Les Républicains, representing the traditional conservative right). On the left, Jean-Luc Mélenchon has already announced his candidacy and remains the most visible figure of the radical left. Raphaël Glucksmann is regularly tested in polls as a social-democratic and pro-European candidate. Marine Tondelier (Greens) and Fabien Roussel (French Communist Party) also feature in various electoral scenarios.

### What do the polls say?

The most striking feature of recent polling is the RN's lead. The RN's candidate is generally credited with around 35% of voting intentions, well ahead of centrist candidates (typically between 15% and 20%) and left-wing candidates (around 10% to 15% for both Mélenchon and Glucksmann).

Based on current polling, the RN would therefore dominate the first round of the election. However, without knowing whether some centrist or left-wing candidates will eventually withdraw to avoid splitting the vote, it is difficult to identify the RN's likely opponent in the second round. A run-off between the RN candidate and either Édouard Philippe or Gabriel Attal is often discussed, but a unified left rallying behind Raphaël Glucksmann could also lead to an RN-Glucksmann contest.

In the coming months, two issues deserve close attention: the left's ability to unite behind a single candidate and the competition between Édouard Philippe and Gabriel Attal for leadership of the centrist bloc.

Regardless of who wins the presidential election, it is likely that the new president would dissolve the National Assembly shortly afterwards in an attempt to secure a governing majority, as the current fragmentation of parliament severely limits the scope for reforms. If a stable majority were to emerge following both the presidential and legislative elections, visibility on France's economic policy outlook could improve significantly compared with the current situation. But the risk that a stable majority does not emerge is quite large.

### What does the RN's programme look like?

Compared with the RN of 2017, the most significant change is its transformation from a Eurosceptic party advocating a break with the European institutional framework into a party seeking to reshape the European Union from within. Proposals to leave the euro area and hold a referendum on EU membership have disappeared from its programme. Nevertheless, the party remains highly critical of European integration and of what it sees as a loss of national sovereignty.

On public finances, the RN regularly criticises European fiscal constraints, the Stability and Growth Pact, excessive deficit procedures, and austerity policies. Its argument is generally that European rules limit the French state's ability to protect the domestic economy. The party also maintains that France's contribution to the EU budget should be reduced.

At the same time, the RN advocates cuts to production taxes and reductions in VAT. Its position on pensions remains unclear. Marine Le Pen initially defended a retirement age of 62 and even 60 for those with long careers, while Jordan Bardella has recently suggested abandoning the focus on the statutory retirement age and instead considering only the number of years of contributions. At this stage, the RN's discourse is much more detailed regarding spending reallocations than regarding an explicit strategy for stabilising public debt over the long term. It is also considerably less committed to a rapid deficit reduction path than centre-right or traditional conservative parties.

Overall, given the precedent set by Giorgia Meloni's government in Italy and the RN's efforts to appear more business-friendly by dropping references to "Frexit", a potential RN victory is viewed by financial markets as less disruptive than in previous presidential elections. However, the party's programme remains highly vague at this stage, and market perceptions could change as policy proposals become more concrete.

That said, even in the event of an RN victory in the presidential election, it appears unlikely that the party would simultaneously secure an outright majority in the National Assembly. The need to form a coalition government could therefore moderate some of the most controversial elements of its programme.

### Public finance challenges will weigh heavily on the campaign

The coming months are likely to be dominated by budgetary discussions, which are expected to be particularly difficult. This morning, the government revised down its 2026 GDP growth forecast to 0.7%, significantly below the 1.0% assumption used when the budget was drafted at the beginning of the year.

As a result, the government's objective of reducing the fiscal deficit to 5% of GDP this year from 5.1% in 2025 has become even more challenging. Expenditure is running higher than expected due to rising interest payments on public debt and continued support measures related to the energy shock, while revenue is underperforming because of weaker economic growth. A EUR 6 billion spending cut for this year is currently being discussed, although no concrete measures have yet been identified.

The 2027 budget is likely to be even more complicated given the presidential election campaign. With no parliamentary majority currently in place, the prospects for agreement across political groups on a restrictive budget during an election campaign appear limited. Last May, the European Commission estimated that, under a no-policy-change scenario, France's fiscal deficit would reach 5.7% of GDP in 2027, pushing public debt to 120.2% of GDP, compared with around 100% at the beginning of 2020.

*Charlotte de Montpellier*

### Rates: Bond markets want to see fiscal improvements, regardless of who brings them

Bond markets have shown a muted reaction to the headlines surrounding Le Pen. One reason is that the RN has an alternative candidate in Jordan Bardella, who currently polls slightly ahead of her. Another is that markets remain primarily focused on France's fiscal trajectory.

Current economic headwinds make it more difficult to bring down the deficit, and political uncertainty also muddies the trajectory for coming years. Spreads of 10y French government bonds over their German peers have already widened back towards the 80bp mark in the past week, although the level overstates the widening somewhat given a maturity mismatch between the current benchmark bonds. Looking at an interpolated 10y spread, we are more or less at the average spread going back to when snap elections were called in June 2024, setting off the more volatile environment for French bonds. As such, we still think that markets are lacking the clarity and confidence for material relief in spreads.

*Benjamin Schroeder*

### FX: EUR/CHF the clearest barometer of renewed political risk

The FX market is not currently looking at the French political and budget story. This follows a recurring script of recent years, where France-specific risk emerges as a key driver for the euro only once the bond market shows real signs of stress. For now, FX investors simply aren't concerned about the recent widening in French spreads.

In the run-up to the April election, we expect elevated scrutiny of RN's fiscal plans. Any headlines suggesting a looser approach to fiscal consolidation could spill over into the euro: we would expect that to become primarily visible in EUR/CHF weakness, as the franc is historically the quintessential hedge to EU risk.

For the moment, our baseline assumption is that – barring a surge in support for Mélenchon – any negative euro impact in coming months will likely prove short-lived as the RN and other parties closer to the centre will be careful not to cause serious OAT volatility during the campaign.

*Francesco Pesole*

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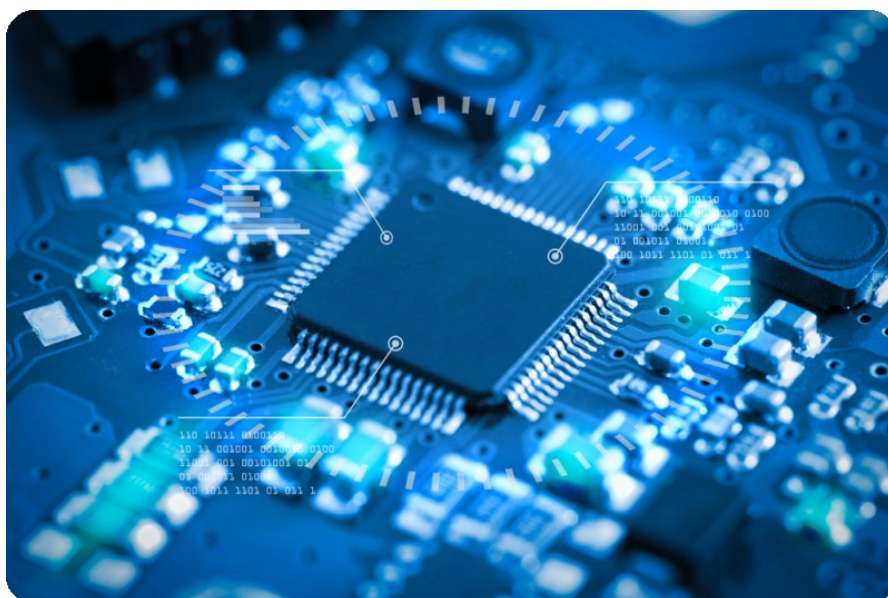
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Article | 7 July 2026

TMT UNITED STATES

# Why tech investors are reevaluating AI investments

AI investment remains a positive long-term story for Big Tech, but investors may see slower EPS growth and lower valuation multiples as infrastructure spending increases depreciation costs and reduces share buybacks. We examine the valuation implications for the largest tech firms, and how risks differ for companies from OpenAI to Anthropic



Strong AI demand is clear, but the future returns on today's spending remain uncertain

## Future earnings uncertainty may drive equity volatility

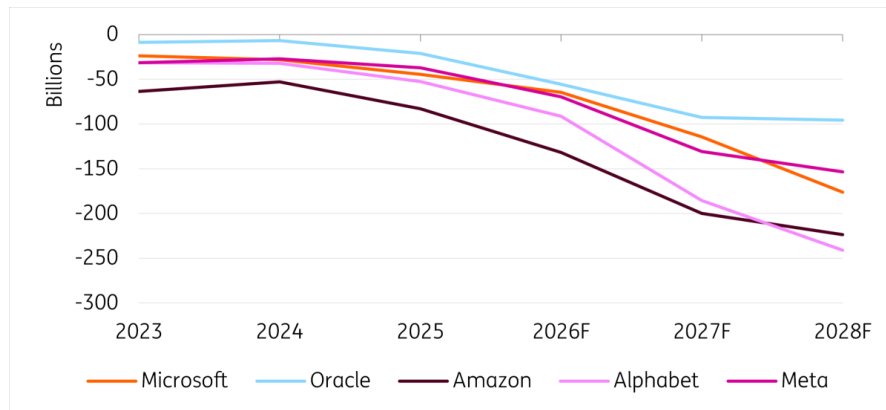
We see a positive future for large technology providers, as the adoption of AI-based services continues to increase. Expected revenues are set to climb, as is EBITDA, [as noted here](#). Yet investors remain nervous. Technology stocks have recently shown large intraday declines. During the first half of 2026, Microsoft's share price declined by 20%, while Oracle fell by 27%. Alphabet, on the other hand, rose by 14%.

In this note, we discuss the factors behind this share price volatility. Although we think the overall technology market can sustain heavy investment in new AI data centre infrastructure, earnings per share growth is likely to slow, influencing equity valuations. Broadly speaking, most credit profiles continue to look fine. Nevertheless, some companies such as OpenAI,

Anthropic and Oracle are investing at a pace that exceeds incoming cash flows.

### Current investments are up (US\$)

More negative values indicate higher investment spending



Source: Refinitiv, ING

(Fiscal reporting year; Oracle has reported results for 2026)

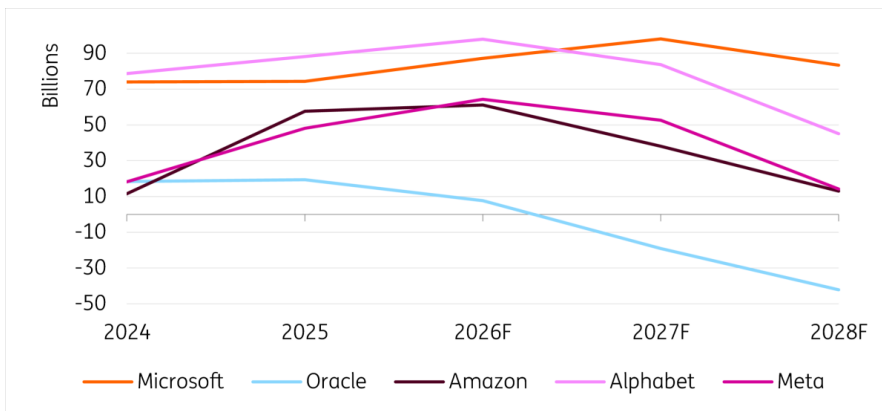
### Not a problem: Investing in building the infrastructure of the future

Despite some occasional doom-mongering by regulators such as the Bank for International Settlements, we think current investments in AI infrastructure are made based on sound economic rationale. For example, Microsoft invested US\$65bn in Cloud and AI infrastructure in F2025, and the company reports annualised run-rate revenues from AI-based services of US\$37bn. This shows there's demand for its investments. Also, technology companies have stated that they cannot deploy AI capacity fast enough to meet customer demand. It means demand for AI computing exceeds supply.

Importantly, most companies can fund these investments through operating cash flow. As a result, industry leaders have little need to take on additional debt, and their balance sheets generally remain strong. The ability to cover investments from existing cash flow can be seen in the chart above (where EBITDA is used as a proxy for operating cash flows). As widely documented, Oracle is a bit of an outlier, with a more aggressive investment programme. This will be discussed below.



## EBITDA - Capex (US\$)



Source: Refinitiv, ING

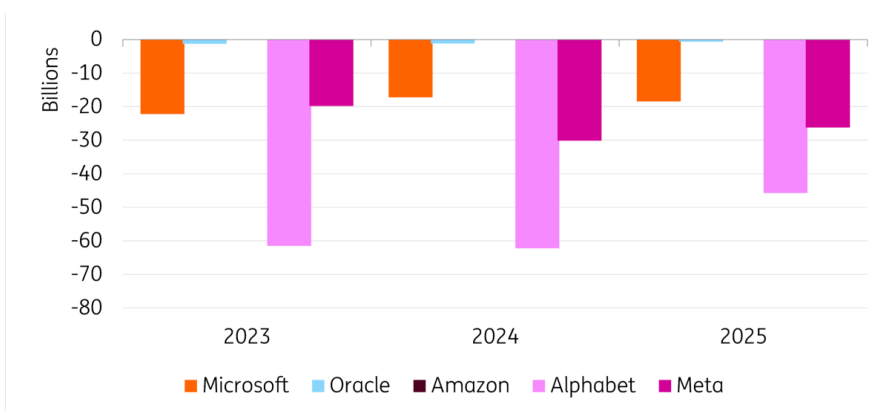
(Fiscal reporting year; Oracle has reported results for 2026)

## Investors may wonder when share buybacks will return

As investment spending rises, though, free cash flow (EBITDA less capex) is likely to be lower than in the past, as the benefits to revenue growth may take time to materialise. This reduces the scope for large shareholder returns in the form of share buybacks. As can be seen from the chart below, share buybacks have been material for Microsoft, Alphabet and Meta.

Alphabet has reduced its share count by 9.5% through buybacks from YE20 to YE25. This provided a positive tailwind for its earnings per share (EPS) metric; profits are now divided by fewer shares. Growth in this metric is important when evaluating equity valuations based on EPS. This is because the multiple can fall over time as EPS grows. Although investments can be funded with cash flows, equity investors may need to evaluate future EPS growth and a company's ability to buy back shares.

## Share buybacks - historical data (US\$)



Source: Refinitiv, ING

(Fiscal reporting year; Oracle has reported results for 2026)

### What to watch when evaluating equity valuations

On a trailing 12-month basis, the Nasdaq trades on a price-to-earnings ratio of around 35x. This is above the 24x level seen at the end of 2022 but below the 40x peak reached in 2021 and 2024. Given expectations for strong earnings growth, however, forward valuations are arguably more relevant. On a two-year forward basis, the Nasdaq trades at around 20x earnings, close to the lower end of its historical range.

Without the support of share buybacks, investors may be less willing to pay 40x earnings multiples in future. The trajectory of EPS growth will depend not only on the revenues generated by AI investments, but also on whether rising costs, including depreciation charges, offset some of those gains.

### What if depreciation catches up with capex?

As the first chart shows, investment levels are higher than a few years ago. This matters because these investments must ultimately be depreciated. If revenues from AI-based services take time to materialise, rising depreciation charges could put pressure on operating margins. This risk is particularly relevant for AI infrastructure. Server hardware typically has a shorter replacement cycle than traditional data-centre assets, resulting in higher depreciation rates.

Case in point: Alphabet. Based on consensus estimates, its FY26 capex-to-sales ratio is expected to reach around 44%, while depreciation is projected to be 14% of sales. If depreciation charges rise over time to reflect this higher level of investment, profit margins could come under pressure, creating a headwind for earnings per share. For Microsoft, the equivalent figures are 35% and 14%, while Amazon is expected to post ratios of 24% and 13%, respectively.

During periods of heavy investment, capex typically exceeds depreciation. The AI sector is currently in such a phase. The key questions for investors are whether these investments generate returns above the cost of capital and whether the anticipated revenue growth ultimately materialises.

### Company specific sources of uncertainty

As discussed above, we believe most of the uncertainty, and therefore much of the volatility, stems from questions around project returns and fair valuations. However, investors must also contend with several company-specific risks associated with the current AI investment boom. This is particularly the case with Oracle, Nvidia, OpenAI and Anthropic.

### How should we look at Oracle's investment objectives?

Oracle has announced ambitious plans to support Project Stargate, a large-scale US AI infrastructure programme. However, its internal cash generation is lower than that of

Microsoft and Alphabet. As a result, Oracle's projected EBITDA less capex is expected to turn negative (based on Refinitiv's consensus forecast), despite the company already operating with relatively low investment-grade credit ratings. While Oracle's balance sheet remains sound, its access to funding is more constrained than larger peers. To preserve its investment-grade rating, the company may ultimately need to raise additional equity capital. So, volatility in Oracle's share price is driven by factors different from those affecting most large technology companies.

### **Can Nvidia maintain its profit margins?**

Nvidia's operating margin could exceed 60% in FY26, according to consensus estimates. This makes sense, as it designs state-of-the-art semiconductors that are in high demand. However, major customers such as Microsoft, Alphabet and Amazon are developing their own custom chips to help manage AI infrastructure costs (capex efficiency). As these capabilities are expanded, Nvidia's pricing power may face greater competition than it has in recent years. This could make today's exceptionally high margins harder to sustain over the long term, even as the company expands into new business lines.

### **How to view companies developing Gen AI models**

Companies such as OpenAI and Anthropic are developing state-of-the-art models for generative AI. They're investing huge sums to become leaders in the field and to develop models specific to customer workflows. OpenAI appears willing to tolerate significant cash burn to establish a dominant position, much as Netflix did in streaming and Amazon did in e-commerce and cloud computing. Yet the long-term economics of AI remain less proven than those earlier industries at similar stages of their development.

### **AI's long-term value remains uncertain**

When evaluating the developments in the market, we don't see evidence of unsustainable investment. How, then, should we explain the volatility in share prices and the steady stream of news articles highlighting concerned investors and regulators? In our view, the market is undergoing a process of price discovery, assessing how to value the future returns from AI-related investments. Key sources of uncertainty include the revenue contribution of AI infrastructure spending, the associated profit margins, and the possibility of slower EPS growth.

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Article | 29 June 2026

# The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

### Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

### Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

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Article | 14 July 2026

FX

## FX Daily: Dollar upside risks are rising rapidly

Crude has jumped, but still isn't fully pricing in a fully-fledged new supply shock, meaning short-term risks remain on the upside for the dollar. So far, the rate differential is keeping EUR/USD afloat thanks to hawkish repricing of ECB expectations alongside the Fed's, but further energy price increases should overcome rates as a primary driver



We have published our monthly update of FX views and forecasts: [FX Talking – Dancing in the dark](#)

### ↑ USD: Room to rally

Short-term momentum is swinging back in favour of the dollar as the FX market is finally starting to take the Gulf re-escalation more seriously. Still, both oil (Brent is at \$84/bl this morning) and the USD are showing reluctance to fully price back in another supply shock. That's despite the US reimposing a blockade in the Strait of Hormuz and oil inventories at worryingly low levels. Overall US crude inventories (commercial+SPR) were 730.8m barrels as of 3 July, the lowest since 1984.

This positive but contained USD reaction does seem a déjà vu of this spring. But conditions are

different now. Reduced Fed guidance after a hawkish shift in June means allowing markets to speculate more aggressively on Fed tightening. Markets are now pricing in a roughly 50% chance of a hike in July, and 43bp by year-end.

Fedspeak remains crucial at this stage: yesterday, Chris Waller warned a hike may be needed in the short term if core inflation stays hot. Chair Kevin Warsh starts his first House testimony today, but he may follow his low-guidance approach and give little away. Barr, Goolsbee, Cook and Bowman are all speaking today.

Today's US June CPI release shouldn't severely dent markets' hawkish tendency. Headline should fall month-on-month due to lower energy prices, but core at 0.2% MoM isn't enough to dispel concerns about second-round effects.

Our call for the remainder of the year remains USD negative, primarily resting on another de-escalation and dovish Fed view. But risks, especially in the near-term, are clearly shifting to the bullish side for the greenback, with 102.0 potentially being reached rapidly in DXY if the Hormuz blockade continues.

*Francesco Pesole*

### ↓ **EUR: Helped by rates**

The EUR:USD short-term rate differential is – for now – helping to keep EUR/USD afloat in this Gulf re-escalation. The two-year swap rate gap has re-tightened around 15bp since the start of July, primarily because the rebound in oil prices happened at a time when ECB hike bets were dwindling, leaving more upside room to recover for EUR front-end rates.

We aren't convinced this rate gap can offer sustainable support to EUR/USD if energy prices continue to rise though. Markets may find it harder to price in more than two ECB hikes by year-end (now, 46bp) considering the less hawkish stance by ECB officials of late, and the medium-term negative implications of an energy crisis – combined with Fed tightening – for the EUR, tend to outweigh the positive of EUR hikes. The spike in gas prices is particularly concerning, as it weighs on the eurozone's terms of trade more than oil.

In a scenario where Brent returns to \$90-100/bl and TTF around €55-60/MWh, a move to 1.10 becomes a tangible risk in EUR/USD.

*Francesco Pesole*

### ↓ **NZD: Best performer in Gulf re-escalation**

The Kiwi dollar is the best-performing currency in the G10 since the start of this week, riding the wave of last week's hawkish repricing after an RBNZ rate hike. It's a testament to how the FX market is very keen to reward currencies that can offer flexibility on the hawkish side for

domestic central bank pricing, not just the positive commodity exposure (like for CAD, NOK, AUD).

Still, markets are now pricing in 60bp of tightening by year-end in New Zealand, which looks a bit too aggressive before seeing 2Q CPI, which is released on 20 July. AUD should recover some ground over NZD should this escalation fail to defuse.

*Francesco Pesole*

### 📉 CEE: Risk-off puts zloty and forint on the back foot

Regional currencies, along with the broader EM space, came under pressure yesterday following weekend headlines on the escalation of the US-Iran conflict. Risk-off sentiment and a stronger US dollar lifted EUR/PLN and EUR/HUF, while EUR/CZK stayed broadly stable. Hawkish CNB rhetoric should continue to cap EUR/CZK upside, leaving the koruna as the most resilient CEE currency. EUR/HUF is again approaching the 360 mark after two days of relief, a level that may act as resistance for many market participants. With our view of EUR/HUF in the range of 350-360 for the rest of the year, further upside should be limited.

By contrast, we still see EUR/PLN as vulnerable to further upside. From a rates perspective, despite yesterday's PLN sell-off, the rate differential versus the euro is broadly unchanged and still points in our models to levels around 4.340. If markets were to price in the full rate cut expected this year, it would open the door to a move above that level. Today's regional calendar is light, with only Czech May current account data due.

*Frantisek Taborsky*

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Article | 14 July 2026

COMMODITIES DAILY

# The Commodities Feed: Oil surges as US reinstates blockade on Iran

Energy prices are surging as tensions between the US and Iran build and vessel traffic through the Strait of Hormuz slows to a trickle



## Energy - Trump's Hormuz toll adds another layer of uncertainty

Oil prices surged yesterday, with ICE Brent settling 9.6% higher on the day — back above \$83/bbl. This strength has continued into early morning trading today, with little sign of easing tensions between the US and Iran. In fact, we're seeing the opposite with military strikes continuing, more commercial vessels hit in the Strait of Hormuz, and, importantly, the US reimposing its blockade on Iran. The return of the US blockade is much more impactful for markets than the previous suspension of the sanction waiver on Iranian oil. The Memorandum of Understanding is starting to look well and truly dead. The consensus says neither side wants an escalation — yet their recent moves tell a different story. Clearly, oil prices simply aren't high enough yet to compel Washington to push harder for de-escalation.

The US continues to say that the Strait of Hormuz is open. But given the growing risk of attack, these comments will offer little comfort to ships. This is reflected in ship tracking data, which shows that vessel crossings yesterday fell to just a trickle. There will likely be additional vessels navigating in the dark given increased hostilities. But clearly, the trend in vessel movements is downward.

The other layer of uncertainty for markets is the cost of navigating the Strait of Hormuz. It's well-telegraphed that Iran is insisting on charging a toll. But President Trump said that the US will charge a fee equivalent to 20% of a cargo's value for providing safe passage for vessels. There are few details on how this would work—or how serious Trump is about it. A 20% fee on a VLCC that carries 2m barrels at \$80/bbl, would be equivalent to around \$32m or an additional cost of \$16/bbl. This is significantly higher than the \$1/bbl toll for which Iran has been pushing.

OPEC's latest monthly market report, out yesterday, showed that the bloc's production increased by 1.4m b/d month-on-month to 18.2m b/d. Increases were driven by Kuwait and Iraq, which pumped 880k b/d and 446k b/d more, respectively. The UAE, which recently exited OPEC, increased output by 1.64m b/d MoM to 3.8m b/d.

Developments in the Middle East have also seen European natural gas prices surging. TTF settled almost 5.4% higher yesterday, breaking convincingly through EUR50/MWh. The market continues to move higher this morning following the US reimposing a blockade on Iran, generating plenty of uncertainty over LNG flows from the Persian Gulf. Europe is looking vulnerable heading through the injection season, with storage just 52% full, well below the 5-year average of 68%. JKM's continued premium to TTF is prompting LNG cargoes to be redirected to Asia, leaving Europe tighter.

### **Metals – Gold sinks as Hormuz risk revives Fed fears**

Gold fell sharply on Monday, with silver also under pressure, as renewed tensions in the Middle East drove oil prices higher. This is reinforcing concerns that inflation could remain elevated and keep the Federal Reserve on a tighter policy path. Higher US yields and a stronger dollar continue to weigh on precious metals.

Gold remains vulnerable around the \$4,000/oz level, with the market closely watching developments around the Strait of Hormuz and their implications for energy prices, inflation and interest rates.

Attention now turns to US inflation data and Fed Chair Kevin Warsh's testimony before Congress this week. A stronger CPI print or hawkish Fed messaging would add pressure on gold and silver, while any signs that inflation risks are easing, or that the Fed is less inclined to tighten further, could help stabilise prices after the recent sell-off.

In base metals, copper found support from tightening LME warehouse dynamics. Cancelled warrants surged by more than 23kt on Monday — the largest one-day increase since May — after ten consecutive sessions of declines. Most cancellations have been reported in Taiwan, South Korea and Singapore. The move pushed cancelled warrants to around 43% of total LME inventories. It highlights strong physical demand and continued shipment diversions to the US ahead of the Trump administration's review of copper import tariffs. Meanwhile, on-warrant

stocks fell to their lowest level since February, while total LME inventories extended their decline for an 18th consecutive session.

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Article | 13 July 2026

RATES SPARK

## Rates Spark: Room for Warsh to shift the narrative

Contrast the build in the US rate hike discount to the taming in inflation expectations. Chair Warsh can choose to latch on to the latter, thus steepening the curve from both ends. European markets continue to follow a hawkish playbook for central bank expectations. Interestingly, the priced-in probability of immediate hikes in July remains minimal



Fed Chair Warsh testifies before the House Financial Services Committee on Tuesday. He could emphasise the tameness of inflation expectations

### Juxtaposition between the rate hike discount and benign inflation expectations

The US 10yr yield breached above 4.6% on Monday, driven there by yet another nudge higher in real yields. But in addition, break-even inflation rates too have been on a renewed rising trend in the past week. The latter coincides with the re-elevation of tensions between the US and Iran, manifesting in a concerning kinetic element. We're not quite in a state of all-out war, but the direction of travel has been more towards that, rather than a ratcheting down. And there is also the unravelling for the markets of the 20% tolls being contemplated by the US for passage through the Strait of Hormuz, and how that might pan out in the weeks and months ahead.

On the front end of the curve, the 2yr yield has breached above 4.25%. That compares with 3.4% (and a rate cut discount) before the war broke out. Now the market has a dominant discount for the next move to be a hike (there is now a 25bp hike discounted for the September meeting). It's unclear whether Chair Warsh will have anything material to say about this as he testifies before the House Financial Services Committee on Tuesday. Unlikely, one would have thought, given his preference for no forward guidance. But he could, if he chooses, emphasise the tameness of inflation expectations.

What *is* interesting here is the contrast between the build of a rate hike discount and the equally impressive fall in inflation break-even rates. Even though they have risen in the past week or so, big picture they are not only back to where they were before the Iran war broke, but in absolute terms they are quite tame (2yr at 2% and 10yr at 2.25%). Tuesday's June inflation release is expected to see the headline rate fall back below 4%, reflecting falls in energy prices. Even then, inflation remains uncomfortably high (hence the rate hike worries).

But then again, the market is already discounting big falls in inflation. Chair Warsh has enough ammunition here to ride the rate hike risk and instead hold pat. Even if he comes under pressure to hike, the richness attached to the 5yr part of the curve tells us that any hike (if delivered) is likely to be subsequently reversed, with the prospect still for bigger cuts than hikes. Given that, we see the curve pivoting steeper from both ends as a central call in the months ahead. That call could accelerate should Chair Warsh decide not to endorse the rate hike panic.

### **No immediate ECB and BoE hikes, but risks tilted towards more tightening**

The re-escalation of the conflict around the Strait of Hormuz could be more consequential for European rates than it is for the US. For both the Bank of England and European Central Bank pricing, markets are quick to price in additional tightening in response to higher oil prices. The 2Y inflation swap for EUR is now trading at 2.2%, which is just slightly above target, yet markets are looking at almost 50bp of hikes over the next year. This also means that long-term inflation expectations remain well anchored with the 10Y inflation swap at 2.1%.

Interestingly enough, neither the ECB nor BoE markets see a material chance of a July hike, which is in just two weeks. But for the meetings thereafter in September, the probabilities priced in are much higher. Such pricing seems partly a reflection of the balance of risk. If oil prices were to stay at current levels, the threshold for another hike is still significant, but if oil were to drift higher, then hiking becomes more of a baseline outcome. Therefore, the probabilities that are priced in also incorporate the distribution of risk of where oil could be over the coming months.

### Tuesday's events and market view

The focus is on the US, not just because there is no notable Eurozone data to report. First, we will get the US inflation data for June, where the market is looking for a second consecutive 0.2% month-on-month reading for the core rate. This would be a relatively benign outcome, but the balance of risks surrounding the median expectation are skewed towards a higher 0.3% reading just judging by the distribution of individual forecasts. Secondly, Fed Chair Warsh will go through his first semi-annual testimony to Congress. Whether there will actually be much to learn in terms of market direction is unclear, since Warsh has made clear that he is no fan of forward guidance. Other speakers on Tuesday include Barr, Goolsbee, Cook and Bowman. We will also get the TIC flows data for May.

In primary markets, the Netherlands taps a 5y DSL for €2.5-3.5bn. Germany will launch a new 2y Schatz for €6bn.

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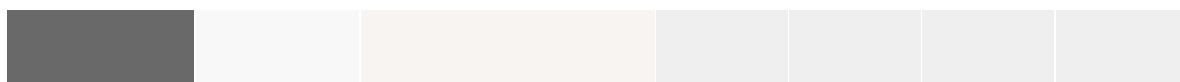
FX

# G10 FX Talking: Dollar upside looks limited

The dollar has been performing well on the view that the Fed will tighten. ING's take is that the Fed will ultimately ride out this inflation spike and keep rates unchanged heading into 2027. That said, it may take until September before the market is fully disabused of its current views. Altogether, that means the dollar's upside looks limited from here



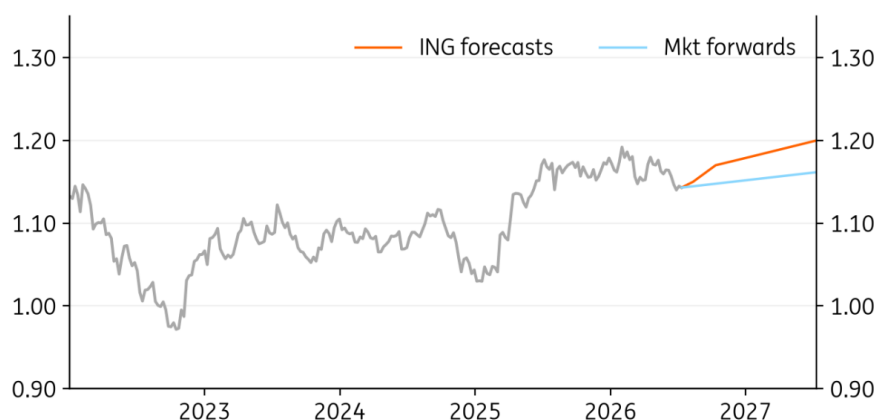
Dollar upside looks limited if the Fed stays on hold



## EUR/USD: Dollar enjoys a world of low forward guidance

|         | Spot   | One month bias                                                                                   | 1M   | 3M   | 6M   | 12M  |
|---------|--------|--------------------------------------------------------------------------------------------------|------|------|------|------|
| EUR/USD | 1.1437 | Mildly Bullish  | 1.15 | 1.17 | 1.18 | 1.20 |

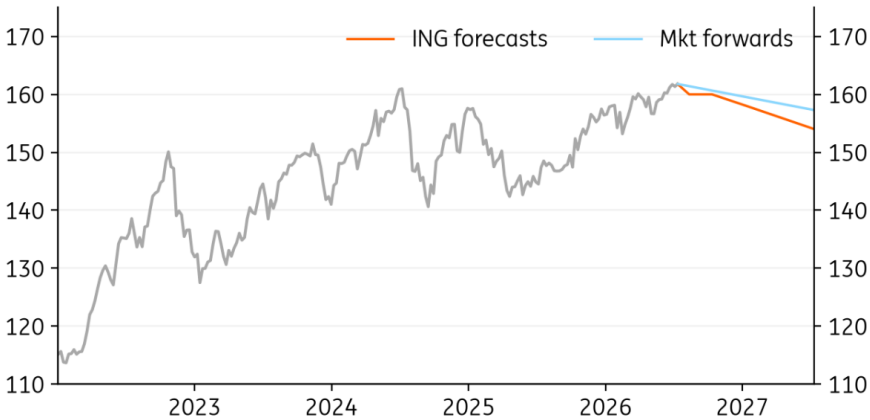
- The dollar is largely holding onto the 3% gains made over the last two months. Those gains have been built on the few words we have heard from the Federal Reserve, which have largely focused on the commitment to price stability. In the absence of forward guidance, US data is going to have a bigger say in FX. ING's core call is that the data will not support a Fed hike this year. Unchanged Fed policy, particularly at the September FOMC meeting, can see EUR/USD trading back to 1.17.
- At the same time, we currently favour a follow-up hike by the European Central Bank in September – a hike which will see dollar hedging costs fall further.
- Low hedge ratios on US assets leave the dollar exposed into the policy uncertainty around the November US midterm elections.



# USD/JPY: Intervention watch continues this summer

|         | Spot   | One month bias   | 1M     | 3M     | 6M     | 12M    |
|---------|--------|------------------|--------|--------|--------|--------|
| USD/JPY | 162.14 | Mildly Bearish ↘ | 160.00 | 160.00 | 158.00 | 154.00 |

- It is not clear that the Bank of Japan has undertaken any further intervention since the \$70bn sold in late April/early May. There is a chance that we do see more in the 16-20 July window – around Japan’s Marine Day public holiday. Intervention can only slow the move, however. A reversal will not be seen until either the BoJ hikes aggressively or the Fed turns more dovish.
- Markets suspect that the government is leaning on the BoJ not to hike too quickly. The market is struggling to price in one further rate hike this year – which would take the policy rate to 1.25%.
- There could be a brief window to 164/165 this summer, but by year-end, and based on our Fed call, USD/JPY should be sub-160.

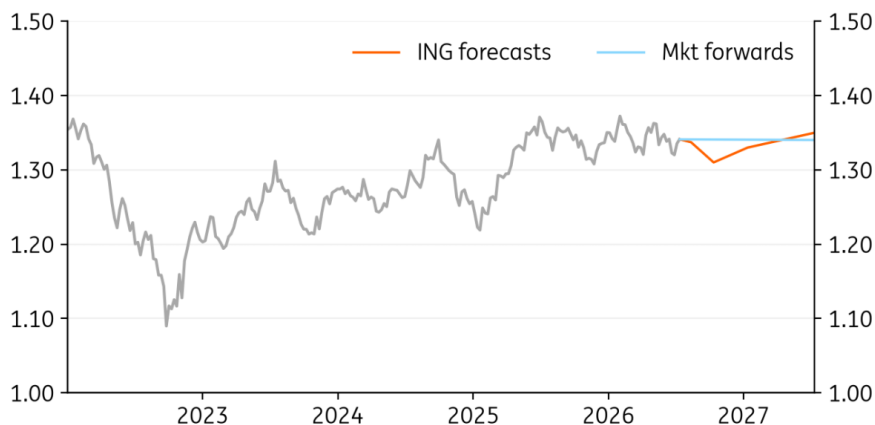




## GBP/USD: Steady Fed & BoE to keep cable in check

|         | Spot   | One month bias | 1M   | 3M   | 6M   | 12M  |
|---------|--------|----------------|------|------|------|------|
| GBP/USD | 1.3399 | Neutral        | 1.34 | 1.31 | 1.33 | 1.35 |

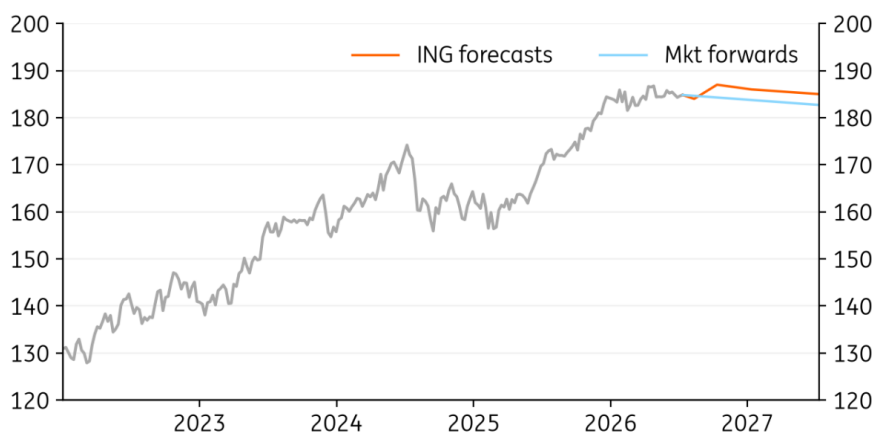
- Markets continue to price 40-45bp tightening cycles for both the Fed and the Bank of England over the next six to nine months. Our call is that neither of them will deliver on those hikes, which means that GBP/USD can probably continue trading in the middle of its 1.32-1.36 range. If anything, we see greater downside risks in the near term, with the Fed likely to remain hawkish for another month or two and UK political risks returning to the fore in late July.
- Andy Burnham is widely expected to become the new PM on 20 July and will probably announce Ed Miliband as his new Chancellor shortly thereafter. Miliband looks £-negative.
- Expect a 7-2 vote for unchanged rates at the 30 July BoE meeting.



## EUR/JPY: Glued to 185

|         | Spot     | One month bias | 1M     | 3M     | 6M     | 12M    |
|---------|----------|----------------|--------|--------|--------|--------|
| EUR/JPY | 185.4400 | Neutral        | 184.00 | 187.00 | 186.00 | 185.00 |

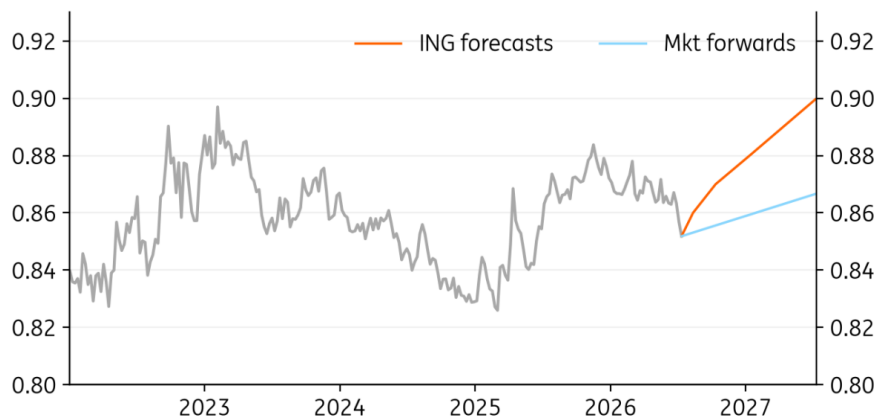
- EUR/JPY has stabilised near 185 – helped in part by range-bound equity markets. Tech valuations remain a hot talking point – especially the [drop in free cash flow metrics](#) – but there are no clear signs that a reversal is imminent. In general, if we return to a more benign environment of softer energy prices and no further Fed tightening, EUR/JPY should retain a modest upward bias.
- On the ECB side, we narrowly think another hike will be seen in September. This is contingent on core inflation staying high this summer and government energy subsidies being removed.
- The yen is undoubtedly very cheap on many longer-term valuation metrics – but we cannot see a catalyst for a reversal.



## EUR/GBP: Lowest levels in a year

|         | Spot   | One month bias                                                                                   | 1M   | 3M   | 6M   | 12M  |
|---------|--------|--------------------------------------------------------------------------------------------------|------|------|------|------|
| EUR/GBP | 0.8456 | Mildly Bullish  | 0.86 | 0.87 | 0.88 | 0.90 |

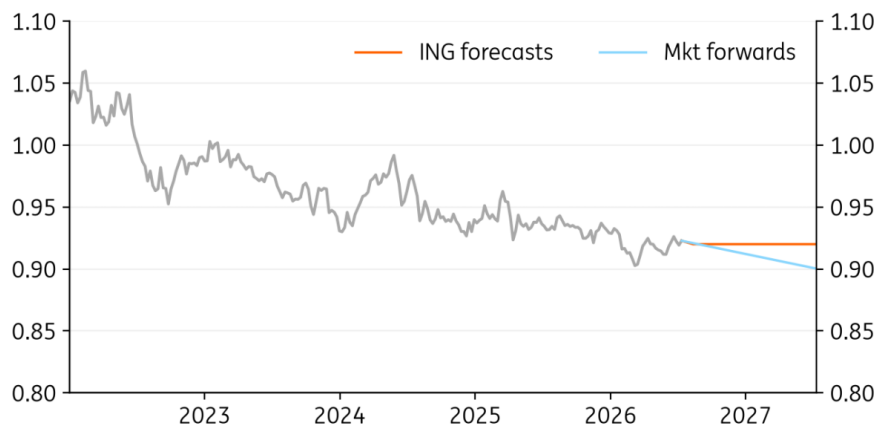
- EUR/GBP has broken to the downside of a tight trading range and is now trading at its lowest levels in a year. Sterling's gains appear to be driven by a low-volatility environment that favours the UK's relatively high interest rates, plus the unwinding of some short GBP positioning.
- Where to from here? We very much doubt the BoE will deliver on any of the BoE tightening priced in by the market. And we doubt there will be a bullish re-assessment of UK growth prospects once Andy Burnham takes charge. Here, he will have to raise taxes if he wants to increase social spending.
- We would not chase EUR/GBP lower below 0.85 and still see a reasonable case that EUR/GBP ends the year near 0.87/88.



## EUR/CHF: FX intervention picks up

|         | Spot   | One month bias | 1M   | 3M   | 6M   | 12M  |
|---------|--------|----------------|------|------|------|------|
| EUR/CHF | 0.9244 | Neutral        | 0.92 | 0.92 | 0.92 | 0.92 |

- In late June, the Swiss National Bank confirmed it had bought CHF3.9bn in FX in 1Q. This was when EUR/CHF briefly traded sub-0.90 on the outbreak of the Middle East conflict. The amount is relatively small, however, when compared to 2020 activity.
- EUR/CHF remains a positive beta on the global rates story. As the SNB looks likely to keep the policy rate at zero for a good while yet, EUR/CHF is being dragged round by prospects of ECB rate hikes. Yet the ECB tightening cycle looks over-priced (we see just one more hike) and we see EUR/CHF upside as limited.
- Last month, we said the CHF was being offered as the dollar debasement trade unwound. How USD/CHF trades at 0.80 is key.



## EUR/SEK: Markets still too hawkish on the Riksbank

|         | Spot    | One month bias | 1M    | 3M    | 6M    | 12M   |
|---------|---------|----------------|-------|-------|-------|-------|
| EUR/SEK | 11.0400 | Neutral        | 11.05 | 10.90 | 10.80 | 10.60 |

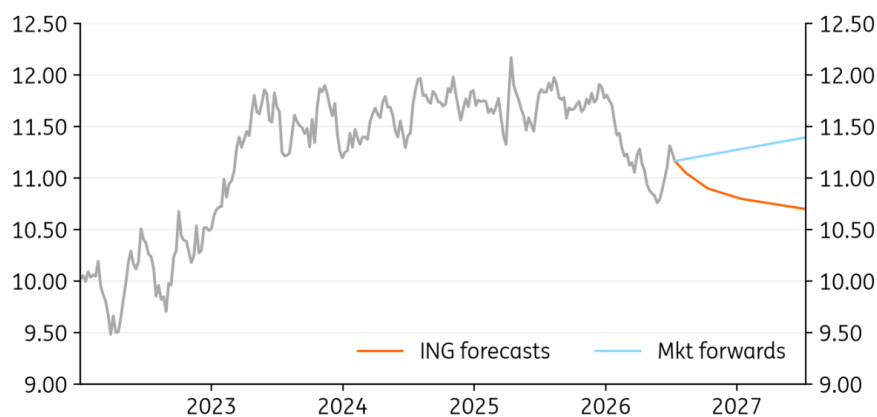
- We expect EUR/SEK to stay just above 11.00 for most of 3Q, primarily on the back of our call for a September ECB hike.
- Markets are pricing in 20bp of Riksbank tightening this year, but we expect the first move in 1Q27 as the inflation outlook remains muted. Hawkish risks would increase with a Middle East re-escalation, but a hike may still only happen after the September election, which we don't expect to have any FX impact.
- We still see some downside potential for EUR/SEK from September onwards. A dovish repricing in Fed expectations and lower US dollar should benefit the krona more than the euro. Still, tighter rate differentials mean a shallower profile than pre-war.



## EUR/NOK: Krone has room to rally

|         | Spot    | One month bias                                                                            | 1M    | 3M    | 6M    | 12M   |
|---------|---------|-------------------------------------------------------------------------------------------|-------|-------|-------|-------|
| EUR/NOK | 11.1700 | Bearish  | 11.05 | 10.90 | 10.80 | 10.70 |

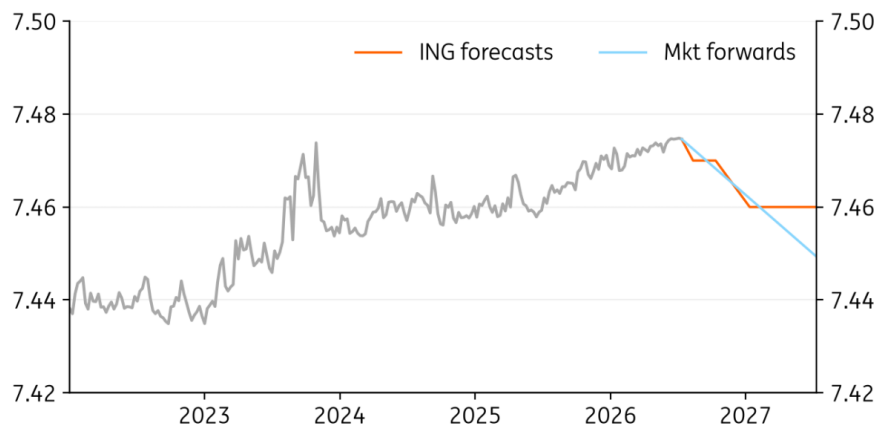
- We have greater conviction in a bearish EUR/NOK call than in a bearish EUR/SEK call. We think oil prices face short-term upside risks regardless of fresh US-Iran tensions, and our call for dovish Fed repricing should help the krone by improving overall FX liquidity.
- Support for the krone should also come from an improvement in its already attractive implied yield. We expect another Norges Bank hike to 4.50%, either in August (our baseline) or September. That should be the end of the cycle though.
- With limited downside room for oil, the main downside risks for NOK stem from another hawkish repricing in Fed rate expectations, and/or fresh stock market jitters.



## EUR/DKK: Back to intervention

|         | Spot   | One month bias | 1M   | 3M   | 6M   | 12M  |
|---------|--------|----------------|------|------|------|------|
| EUR/DKK | 7.4751 | Neutral        | 7.47 | 7.47 | 7.46 | 7.46 |

- The Danish central bank (DN) bought DKK 0.75bn (c.USD 115m) in June to defend the currency. This is the first intervention since January 2023, but not entirely surprising timing-wise.
- DN had the option to hike more than the ECB on 11 June to tighten the rate gap, and instead decided to follow the usual intervention-first approach.
- The size of this intervention is very small and could suggest this is the start of a campaign. Denmark's ample FX reserves offer plenty of intervention firepower, we are tempted to think DN will deliver a larger hike than the ECB in September. We expect a return to 7.460 by year-end.

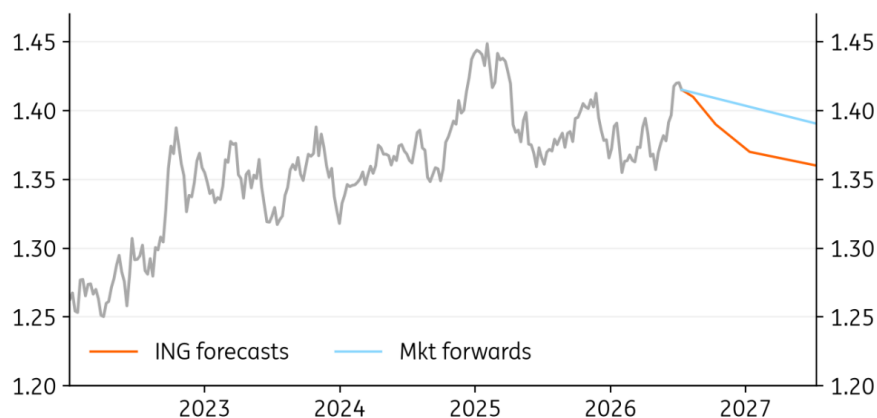




## USD/CAD: Loonie recovery should be slow

|         | Spot   | One month bias | 1M   | 3M   | 6M   | 12M  |
|---------|--------|----------------|------|------|------|------|
| USD/CAD | 1.4138 | Neutral        | 1.41 | 1.39 | 1.37 | 1.36 |

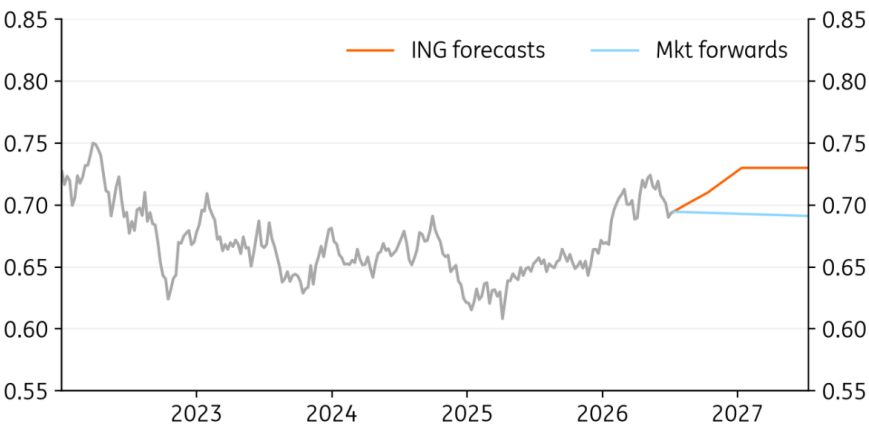
- Canadian unemployment declined for a second consecutive month in June, thanks to a rebound in hiring. But inflation will probably fall back below the 3% target upper bound in June, and we don't expect a large enough pick up in the core rate to justify a rate hike this year, unless energy prices spike higher.
- While the Canadian dollar could enjoy some support from a bottoming out in oil prices, its carry appeal remains low. The BoC may keep its options open in July, but markets won't be easily convinced to push expectations aggressively higher from the current 17bp by year-end.
- USMCA headlines can quickly emerge as a drag for the loonie.



AUD/USD: Waiting on a sustainable rally

|         | Spot   | One month bias                                                                                   | 1M   | 3M   | 6M   | 12M  |
|---------|--------|--------------------------------------------------------------------------------------------------|------|------|------|------|
| AUD/USD | 0.6940 | Mildly Bullish  | 0.70 | 0.71 | 0.73 | 0.73 |

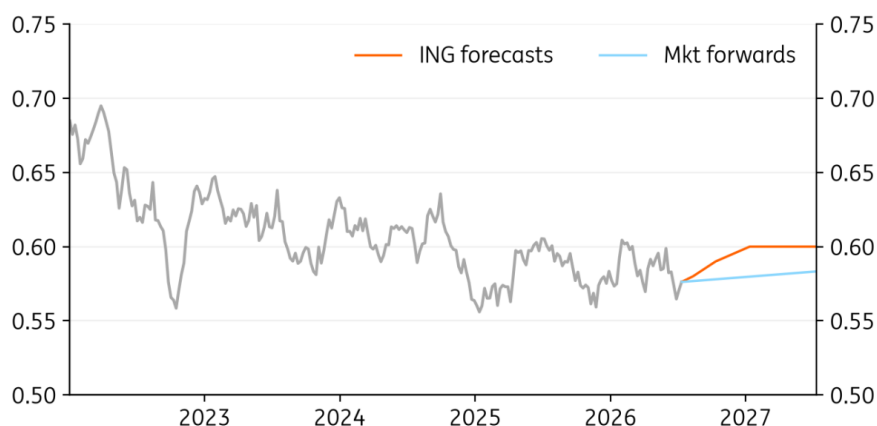
- The more cautious tone by the Reserve Bank of Australia on further tightening has kept hawkish expectations in check: only 13bp is priced by December. We expect a prolonged hold, but the RBA has previously shown it can react swiftly to upside surprises in inflation.
- We expect a structural return above 0.70 in AUD in the coming months. Carry is attractive, terms of trades have improved, and some dovish Fed repricing could offer the right external setting.
- CFTC data shows speculative positioning on AUD has flipped negative in June for the first time since January. The Aussie had likely suffered from profit-taking in crowded longs, but now looks more capable of forming a sustainable uptrend.



## NZD/USD: Riding the rate hike enthusiasm

|         | Spot   | One month bias                                                                                   | 1M   | 3M   | 6M   | 12M  |
|---------|--------|--------------------------------------------------------------------------------------------------|------|------|------|------|
| NZD/USD | 0.5779 | Mildly Bullish  | 0.58 | 0.59 | 0.60 | 0.60 |

- The Reserve Bank of New Zealand hiked rates in July and is signalling another move in coming meetings. We suspect that this hawkish tone was more aimed at preserving market hawkishness than out of strong conviction.
- Two of the six policy committee members may not be on board with this hawkish shift, and 50bp of tightening in the curve by December looks a bit too aggressive. Our call is another hike in September or October, followed by a pause into 2027.
- Short term momentum looks good for NZD, but we could see a slowdown in the rally on some dovish reassessment of expectations. We expect AUD to outperform NZD in 4Q.



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